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Minister of Economy Nir Barkat
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Although the State of Israel has a strong and rapidly growing economy, it's dealing with a plethora of existential domestic and foreign conflicts that greatly affect its economy. Domestic issues such as judicial reform, corruption, dwindling public perception of the government, and increasing costs of living have pronounced effects on Israel's economy. Furthermore, foreign issues such as Hamas's October 7th attack, border conflicts, and foreign threats jeopardize economic and labor market growth. Israel's economy is driven by its high-technology sector, but recent economic difficulties threaten the growth of the industry, thus putting the growth and survival of the whole economy in peril.¹ To fully comprehend Israel's economic landscape, it's imperative to understand how foreign and domestic issues intertwine to create complex economic problems that require a multifaceted approach. Internally, the government is grappling with a public opinion crisis while creating new allies to aid the economy. Globally, neighboring nations have conflicted with Israel since its inception, which has been amplified by the recent Hamas attack, which has caused Israel to face severe labor shortages and a tumbling GDP.²

Israel's high-tech sector is the backbone of the economy and the industry with the highest and fastest growth in Israel. The sector accounted for 18 percent of its GDP and nearly half of all exports in 2022, generating the majority of foreign investments in Israel.³ Further, Israel leads the world in the percentage of all employees that work in high-tech, with an average just short of ten percent.⁴ Due to the vital role that the high-tech industry plays in the prosperity of Israel's economy, the state heavily invests in innovation and is frequently an *Organisation for Economic Cooperation and Development (OECD)* leader in the percentage of GDP spent on research and

¹ "An Overview of Israel's Economy." Nasdaq. <https://www.nasdaq.com/articles/an-overview-of-israels-economy>

² OECD Publishing. "Israel - OECD Economic Outlook November 2023." Issuu. <https://issuu.com/oecd.publishing/docs/israel-oecd-economic-outlook-november-2023>.

³ "An Overview of Israel's Economy." Nasdaq. <https://www.nasdaq.com/articles/an-overview-of-israels-economy>

⁴ "Part A: Israeli High-Tech 2022 Situation Report." Israel Innovation Authority. <https://innovationisrael.org.il/en/report/part-a-israeli-high-tech-2022-situation-report/>

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development.⁵ The *United Nations Conference on Trade and Development (UNCTAD)*

Technology and Innovation Report 2021 highlights the crucial role that “frontier,” such as artificial intelligence, biotechnology, robotics, and the internet, play in the sustainable development of global industry and economies. The report states that frontier tech is already a \$350 billion industry globally, and could grow to \$3.2 trillion by 2025, reinforcing the importance of the sector.⁶ Unfortunately, labor shortages have plagued the high-tech industry in Israel following the recent Hamas attack. In addition, government skepticism before the war from foreign investors and citizens has weakened investment in the high-tech sector. Hamas’s attack has created widespread labor shortages due to, in total, over 900,000 Israelis being called to military duty, leaving work to take care of children who are out of school, evacuating near borders with Gaza and the West Bank, or being unable to work because of physical damage to their industry caused by the war.⁷ This has cost the economy roughly 600 million dollars weekly during the first three weeks of the war, as reported by the Bank of Israel.⁸ Many high-tech workers and entrepreneurs have been called to military service, since many Orthodox Jews get religious exemptions from service, and many others have had to evacuate areas near the borders. Constant uncertainty plague the state, causing significant disruptions to productivity. The labor shortages and dropoff in productivity in the high-tech sector have caused major disruptions to the industry and a massive decrease in exports.⁹

⁵ "Israel's High-Tech Economy." Polish Institute of International Affairs (PISM).

<https://pism.pl/publications/israels-high-tech-economy>

⁶ "Technology and Innovation Report 2021." United Nations Conference on Trade and Development (UNCTAD).

<https://unctad.org/publication/technology-and-innovation-report-2021>

⁷ "Israel Economy Gaza War." The New York Times, December 25, 2023.

<https://www.nytimes.com/2023/12/25/world/middleeast/israel-economy-gaza-war.html>

⁸ "War is Costing Economy Some \$600M a Week Due to Work Absence: Bank of Israel." The Times of Israel.

<https://www.timesofisrael.com/war-is-costing-economy-some-600m-a-week-due-to-work-absence-bank-of-israel/>

⁹ "Existential Shock: War Sends Israeli Economy into Unknown." Reuters, October 24, 2023.

<https://www.reuters.com/world/middle-east/existential-shock-war-sends-israeli-economy-into-unknown-2023-10-24>

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Besides high-tech, other industries, such as construction and agriculture, face devastating labor shortages that threaten the economy because of the conflict. Immediately following Hamas's October 7th attack, Israel enacted a ban on all Palestinian workers, by which both the agriculture and construction industries heavily depend on.¹⁰ The attack has also prompted Israel to indefinitely increase defense spending by around 0.5-1 percent of the GDP, but has no plans to raise taxes or decrease civil government spending. This means that Israel will begin to take on more national debt, which can reduce investments in future innovation and increase the risk of economic crisis. Additionally, the conflict may dampen Israel and the Middle East's desire to be a hub for exporting natural gas to Europe, which is increasingly valuable with the Russian war, fueled by Chevron's \$4 billion investment in developing Israel's massive natural gas fields.¹¹ The *International Monetary Fund (IMF)* reports that the war will also affect the economies of neighboring nations, where prolonged conflict will slow trade and tourism, and potentially cause refugee flows, which will damage the already fragile Middle East economies.¹² Neighboring nations, especially Lebanon, Egypt, and Jordan have faced an average of a 50 percent decline in tourism since the start of the war. This sharp decline in tourism has negatively affected their economies, as tourism helped the economies rebound following the pandemic.¹³

Israel faced an abundance of economic challenges even before Hamas's attack. An *OECD* report found that in 2022, Israel had the highest cost of living of all developed nations,

¹⁰ "The Link Between Labor Shortages and Israel's Strategic Security." Israel Democracy Institute. <https://en.idi.org.il/articles/51194>

¹¹ "Israel Gaza Natural Gas." The New York Times, October 8, 2023. <https://www.nytimes.com/2023/10/08/business/israel-gaza-natural-gas.html?searchResultPosition=4>.

¹² "Middle East Conflict Risks Reshaping the Region's Economies." International Monetary Fund (IMF), December 1, 2023. <https://www.imf.org/en/Blogs/Articles/2023/12/01/middle-east-conflict-risks-reshaping-the-regions-economies>.

¹³ "Tourism Israel Jordan Lebanon Egypt." The New York Times, November 30, 2023. <https://www.nytimes.com/2023/11/30/travel/tourism-israel-jordan-lebanon-egypt.html>.

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and was roughly 35 percent higher than the OECD average.¹⁴ Furthermore, judicial reform, proposed in January of 2023 by the Knesset, is diminishing international trust in Israel's economy, with leading analysts and investors stating that Israel's economy will face "ratings downgrades, falling foreign investment and a weaker tech sector" if the controversial judicial reforms prevail. Between January and July of 2023, the value of the New Israeli Shekel dropped by nine percent in comparison with the US Dollar.¹⁵ Even worse, the judicial reform threatens the high-tech sector, with many tech leaders threatening to leave Israel if the judicial reform occurs. Additionally, Israel saw a sharp 60 percent decline in foreign investment following the proposed reforms.¹⁶ With labor shortages accross all industries, lessening foreign investment in tech, and worsening Middle Eastern economies, it's vital that Israel strengthens it's economy during war.

Before the attack on Black Sabbath, my administration prioritized increasing the GDP by five percent annually, doubling the GDP in 15 years. Our priority was also expanding the high-tech sector from nearly 400,000 employees to 2 million. Now, we must focus on securing foreign investments and continuing to grow the high-tech in light of labor shortages.¹⁷ Before the war, 110,000 Palestinian workers were employed in Israel, a majority of whom worked in the construction industry. Now, since the Israeli government has not reinstated Palestinian work permits, the industry faces widespread labor shortages. Also, since Israeli reservists have been called to war and migrant workers have fled the country, Israel's construction industry is running

¹⁴ "Israel's Cost of Living the Highest Among OECD Countries in 2022, Data Shows." The Times of Israel.

<https://www.timesofisrael.com/israels-cost-of-living-the-highest-among-oecd-countries-in-2022-data-shows/>

¹⁵ "Israel's Judicial Reform Turmoil Threatens Economic Growth, Investment." Reuters, July 30, 2023.

<https://www.reuters.com/world/middle-east/israels-judicial-reform-turmoil-threatens-economic-growth-investment-2023-07-30/>

¹⁶ "Israel Economy War Gaza Hamas." The New York Times, October 20, 2023.

<https://www.nytimes.com/2023/10/20/business/israel-economy-war-gaza-hamas.html>.

¹⁷ Hennessey, Zachy. "Barkat: I want to double Israel's GDP within 15 years." The Jerusalem Post, January 23, 2023.

<https://www.jpost.com/israel-news/politics-and-diplomacy/article-729320>.

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at 15 percent capacity.¹⁸ However, despite numerous attempts at peace with Palestine by granting work permits, antisemitism and a desire to eliminate the mere existence of Israel have continued to torment the state. Relying on Palestinians to fuel the agriculture and construction industries in Israel has proven to be an empirical risk to Israel's security. Although the lack of Palestinian workers creates a turbulent economic scene, Israel can no longer rely on Palestinian labor. The Socioeconomic Cabinet recently voted not to reintroduce tens and thousands of Palestinians into the Israeli cabinet, a first step in protecting Israel against terrorists.¹⁹ Even though Israel can no longer rely on Palestinians from the West Bank and Gaza, the absence of these workers is costing Israel roughly \$850 million per month, estimates report. Instead of utilizing Palestinian laborers, Israel should invest in foreign workers, primarily from Asian nations, many of whom would love to work in Israel because of improved living conditions and higher wages.²⁰

Artificial intelligence (AI) will be the future of Israel's high-tech sector, with the size of Israel's AI market at \$1.54 billion in 2023, and an estimated 300 percent increase by 2030.²¹ A major step forward for Israel's AI industry is the *National Cyber Directorate*, a program aimed at creating AI cyber defenses in partnership with both the government and the private sector. AI cybersecurity is increasingly important, especially in light of the Hamas attacks.²² In addition to internal AI ventures, partnerships with new allies, such as Saudi Arabia, can effectively help to build Israel's AI and high-tech sectors. A partnership with the *Saudi Data & AI Authority*,

¹⁸ "Israel Palestinian Workers Construction Economy." NPR, November 4, 2023.

<https://www.npr.org/2023/11/04/1210588361/israel-palestinian-workers-construction-economy>.

¹⁹ "Israeli Ministers Recommend Not Letting in Palestinian Workers." JNS.org.

<https://www.jns.org/israeli-ministers-recommend-not-letting-in-palestinian-workers/>.

²⁰ "Likud MKs Demand Israel Permanently Bar Palestinian Laborers Due to Security Risk." The Times of Israel. https://www.timesofisrael.com/liveblog_entry/likud-mks-demand-israel-permanently-bar-palestinian-laborers-due-to-security-risk/.

²¹ "Artificial Intelligence in Israel." Statista. <https://www.statista.com/outlook/tmo/artificial-intelligence/israel>.

²² "How Israel Can Build its AI Sector." The Jerusalem Post.

https://www.jpost.com/opinion/article-746325#google_vignette.

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established to help Saudi Arabia become a global power for AI, can help Israel develop innovative AI that help to expand the defense industry and the economy.²³ An Israeli economist reports that from inception, Israel's economy has prospered because of globalization; international cooperation, high levels of exports, and foreign investment have all contributed to Israel's transformation from a third world country to a highly developed and industrialized state in only 70 years. Now, especially since Israel has a population of only 10 million, the primary pathway to economic growth is through global partnerships.²⁴

The 1995 Constitutional Revolution granted the supreme court the power to strike down laws passed by the Knesset, an encroachment on the democracy of Israel. Further, the supreme court was structured for a committee of high-ranking justices to appoint future justices, essentially giving the supreme court unchecked power in regards to selecting judges and vetoing laws.²⁵ This has created a severe issue where the supreme court is consistently overstepping with vetoing legislation, favoring liberal ideas, and being undemocratic with judicial appointments. To combat this, the Knesset has passed the 'Reasonableness' Bill, removing the supreme courts' power to veto legislation that they deem 'extremely unreasonable.' The reform also aims to give the government increased power over judicial appointments, increasing their number of seats in the judicial appointment committee.²⁶ Although the reforms have been paused due to the war, they will hopefully implement the necessary reforms to preserve Israel's complex democracy. Unfortunately, Bank of Israel analysts have linked the uncertainty around judicial reform to "increases in Israel's risk premium, adverse impact on exports, and declines in domestic

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²⁴ "Globalization Drove Israel's Economic Repositioning." Calcalistech.
<https://www.calcalistech.com/ctech/articles/0,7340,L-3736106,00.html>.

²⁵ Cohen, Amichai, and Yuval Shany. "Reversing the 'Constitutional Revolution'." The Israel Democracy Institute. February 15, 2023. <https://en.idi.org.il/articles/47916>.

²⁶ "Israel judicial reform explained: What is the crisis about?" BBC News. 11th September 2023.
<https://www.bbc.com/news/world-middle-east-65086871>.

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investment and private consumption.”²⁷ Opposing political parties and other nations fear that the proposed reforms could give the legislative and executive branches unchecked power. In addition to the fiscal effects, this caused civil unrest throughout Israel before the attack on Black Sabbath. In response, Prime Minister Benjamin Netanyahu has agreed to pause the reforms, and will only pass legislation that has bilateral support from the opposition.²⁸ Israel’s high-cost of living, as discussed in the previous section, can be linked to productivity gaps across sectors. Although research-based industries, such as high-tech, are, on average, significantly more productive than the OECD average, other industries are facing a productivity crisis. Sectors that fall below the OECD productivity average, such as real estate, construction, insurance, and transportation, make up 62 percent of Israel’s economy. This is causing “asymmetric growth,” where Israel’s research industries are growing at a rapid rate, but other industries are growing at a significantly slower rate. These discrepancies in industry growth can be linked to Israel’s extremely high cost of living and housing prices, where the average price of a home grew by 11 percent in Q3 of 2023,²⁹ in comparison to just four percent in the United States.³⁰ Sectors such as construction have historically low-paying wages, meaning that many laborers cannot afford Israel’s cost of living, causing Israel to rely on foreign workers from Palestine. Especially in light of the Hamas attack, causing work permits for Palestinians to be halted, productivity suffers in industries such as construction where Israel relies on foreign labor because of the high cost of living. Further, in

²⁷ International Monetary Fund. European Dept. "Israel: 2023 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for Israel." Published June 15, 2023.
<https://www.elibrary.imf.org/view/journals/002/2023/211/article-A001-en.xml>.

²⁸ "Barkat Said to Tell US Bankers That Only a Negotiated Judicial Reform Will Pass." The Times of Israel, June 8, 2023.
<https://www.timesofisrael.com/barkat-said-to-tell-us-bankers-that-only-a-negotiated-judicial-reform-will-pass/>.

²⁹ Mirovsky, Arik. "Israel's Housing Market Ends 2023 in Deep Recession." Globes, January 4, 2024.
<https://en.globes.co.il/en/article-israels-housing-market-ends-2023-in-deep-recession-1001466923>.

³⁰ Economy Team. "US Home Price Insights – December 2023." CoreLogic®, December 5, 2023.
<https://www.corelogic.com/intelligence/us-home-price-insights-december-2023/>.

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industries such as real estate, the pronounced increase in housing prices means that fewer people can afford homes, causing investors to shy away from new construction because of uncertainty around rents, thus affecting the industry's production. To address Israel's incongruent industry growth, we must first address the extraordinarily high cost of living.

Instead of relying on Palestinian labor in the construction and agriculture industries, Israel must recruit foreign workers, train unemployed Israelis to work in agriculture and construction, and make long-term investments in technology to minimize the need for workers in these industries. Since the onset of the war, hundreds of volunteers who were disheartened by the Israelis who were murdered and taken hostage temporarily uprooted their lives to work in farms across Israel. Organisations such as *Birthright* have tried to minimize the labor shortages by organizing over 1,000 volunteers to work on farms across Israel, however efforts like these are inadequate to replace the 30,000 Palestinian and foreign workers who have left the country. To recruit foreign workers, Israel has promised at least \$1,500 monthly for workers who help in the agriculture industry. Enticed by the high wages and protections offered by the government, nations such as Malawi and Kenya, that have astronomical unemployment rates, have sent workers to Israel to work in farms.³¹ However, these efforts have been fairly uncoordinated and primarily benefit the agriculture sector. To increase the effectiveness of these measures, Israel must recruit thousands of African and Asian youth who are not currently receiving an education to work on farms in Israel. To achieve this, Israel must build temporary schools for high schoolers and give workers free access to esteemed Israeli universities near the farms they are working on. This would give African youth an outlet to receive a world-class

³¹ "Volunteers flock to Israel to harvest fruit and vegetables as foreign farm workers flee during Israel-Hamas war." CBS News. December 9, 2023. <https://www.cbsnews.com/news/israel-farm-labor-shortage/>.

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education while being paid \$1,500 monthly to work on farms. This would give desperate aid to Israel's agricultural industry and educate more youth who could receive degrees in industries such as high-tech and construction, which would ultimately help Israel's economy. For Israel's struggling construction sector, which faced a productivity crisis even before the war, Israel has preemptively reached an agreement to train and bring 70,000 foreign workers from Asian countries to work in construction. Since Israel's construction sector struggled before the war, Israel should make necessary investments to utilize these workers even during peacetime.³²

The *Israel Innovation Authority* reports that Israel-based startups received \$27 billion in venture capital (VC) funding in 2021, more than the previous three years of funding combined. With investors increasingly hesitant because of early judicial overhaul plans and now the war, it is critical that Israel's 9,000 startups (the third largest startup region in the world) receive consistent funding.³³

Plan: talk about solutions for labor shortages (volunteers and foreign workers), housing prices (West Bank), growing high-tech sector (google search) and we should be golden! Less go!

³² Reuters. "Israel Plans to Bring in More Foreign Workers for Construction Sector - Report." Reuters, January 1, 2024.

<https://www.reuters.com/world/middle-east/israel-plans-bring-more-foreign-workers-construction-sector-report-2024-01-01/>.